PERSONAL LOAN POLICY & CUSTOMER GUIDE

Synthetic Enterprise Document for RAG Practice

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This document is intentionally designed as a realistic practice corpus for a Retrieval-Augmented Generation (RAG) application. It contains eligibility rules, exceptions, tables, fees, examples, and related policies that can be used to test document loading, chunking, embeddings, retrieval, reranking, and grounded answer generation.

FICTIONAL / TRAINING USE ONLY — NOT A REAL BANKING PRODUCT

1. Product Overview

The Personal Loan product is an unsecured installment loan intended for personal financial needs such as education expenses, home improvement, medical expenses, travel, family events, and other lawful personal purposes.

The loan does not require collateral for standard applications. Approval is subject to applicant eligibility, credit assessment, income verification, affordability checks, internal policy rules, and successful document verification.

The illustrative product limits in this document are training values. They should not be interpreted as actual lending terms.

Key Product Parameters

Parameter	Standard Policy
Minimum loan amount	■50,000
Maximum loan amount	■25,00,000
Minimum tenure	12 months
Maximum tenure	84 months
Minimum applicant age	21 years
Maximum age at loan maturity	60 years for salaried applicants; 65 years for self-employed applicants
Minimum monthly income	■30,000 gross for salaried applicants; ■40,000 average monthly business income for self-employed app
Minimum credit score	700 preferred; exceptions may be considered from 680 subject to stronger compensating factors

2. Eligibility Criteria

Applicants must be Indian residents with a valid identity document, a verifiable residential address, and an active bank account. The applicant must have sufficient documented income to support the proposed EMI.

Eligibility is evaluated using multiple factors rather than a single score. These include age, income, employment stability, existing obligations, credit history, banking behavior, requested loan amount, tenure, and internal risk rules.

Baseline Eligibility

Criteria	Requirement
Citizenship / residency	Indian resident
Age at application	21 to 58 years for salaried applicants; 21 to 63 years for self-employed applicants
Age at maturity	Not above 60 for salaried; not above 65 for self-employed
Employment/business stability	At least 12 months in current employment or 24 months in current business
Bank account	Active account capable of receiving and servicing the loan
Credit history	Minimum 680 considered; 700+ preferred
Repayment capacity	Proposed EMI plus existing obligations must satisfy affordability rules

Important Eligibility Exception

An applicant with a credit score between 680 and 699 may still be considered if income stability is strong, there are no recent serious delinquencies, the requested loan amount is within the conservative affordability band, and the application passes enhanced risk review.

3. Salaried Applicant Rules

Salaried applicants must generally have at least 12 months of continuous employment, including at least 6 months with the current employer. Applicants changing jobs may be considered when the new employment is in the same industry and the employment gap is less than 30 days.

Eligible income may include fixed salary and, subject to verification, a portion of recurring allowances. Variable bonuses are not automatically counted at 100%.

Salary Components Considered

Income component	Treatment
Basic salary	100% considered
Fixed monthly allowance	100% considered if documented and recurring
Variable allowance	Up to 50% considered based on consistency
Annual performance bonus	Up to 50% of documented average may be considered
Overtime income	Generally excluded unless recurring for at least 12 months
Rental income	Up to 70% may be considered with valid evidence

4. Self-Employed Applicant Rules

Self-employed applicants include proprietors, partners, and owners/directors of eligible businesses. The business should normally have operated for at least 24 months.

Income is assessed using business financial statements, bank statements, tax returns, and other evidence. The assessment focuses on sustainable income rather than a single high-income month.

For a self-employed applicant, the policy generally uses the average verified monthly income over the latest 12-month period. Where seasonality is significant, a longer period may be requested.

Typical Documents for Self-Employed Applicants

Document	Typical requirement
Income tax returns	Latest 2 financial years
Business registration proof	Required where applicable
Bank statements	Latest 12 months
Financial statements	Latest 2 financial years where available
GST records	May be requested for applicable businesses

5. Credit Score and Credit History

A credit score of 700 or above is preferred for standard processing. Scores from 680 to 699 can be considered when other risk factors are favorable.

A low score does not automatically result in rejection. However, recent serious delinquencies, repeated missed payments, active settlements, write-offs, or unresolved credit disputes can materially reduce approval likelihood.

Recent payment behavior is considered alongside the overall credit score. A high score with a recent 90-day delinquency may require enhanced review.

Illustrative Risk Bands

Credit score	Typical treatment
750 and above	Strong profile; standard assessment
700–749	Preferred range
680–699	Possible with compensating factors and enhanced review
650–679	Normally outside standard policy; exception only in limited circumstances
Below 650	Normally not eligible for this product

6. Loan Amount and Affordability

The standard loan amount is ■50,000 to ■25,00,000. The final approved amount may be lower than the requested amount because affordability and risk limits apply.

For salaried applicants, a common affordability guideline is that total monthly debt obligations, including the proposed EMI, should generally remain at or below 50% of verified monthly net income. Exceptions can be considered for strong profiles, but approval is not guaranteed.

For self-employed applicants, affordability is calculated using verified sustainable income after appropriate business and existing-debt adjustments.

Illustrative Affordability Example

> Suppose a salaried applicant has verified net monthly income of ■80,000 and existing EMIs totaling ■12,000. At a 50% total-debt guideline, the maximum total monthly debt service would be ■40,000. The indicative room for the new loan EMI would therefore be ■28,000. The final eligible loan amount would depend on interest rate, tenure, credit assessment, and other policy checks.

7. Interest Rates

Interest rates are risk-based. A stronger credit profile, stable income, lower obligations, and stronger banking history may result in a more favorable rate.

The illustrative annual interest-rate range for this training document is 10.50% to 18.75%. The actual rate is assigned after credit assessment.

The interest rate may be fixed for the agreed loan term. Any change to product rules must be communicated through the applicable customer documentation.

Illustrative profile	Indicative annual rate
Very strong profile	10.50%–12.00%
Strong profile	12.01%–14.00%
Standard profile	14.01%–16.50%
Higher-risk approved profile	16.51%–18.75%

8. Required Documents

Documents must be valid, readable, and consistent with the information supplied in the application. Additional documents may be requested when information cannot be independently verified.

Applicant type	Core documents
Salaried	Identity proof, address proof, latest 3 salary slips, latest 6 months bank statements, employment information
Self-employed	Identity proof, address proof, latest 2 years tax returns, latest 12 months bank statements, business proof, financial
All applicants	Completed application, consent for credit assessment, active bank account details

9. Application and Approval Process

The typical process consists of application submission, identity verification, document collection, credit assessment, income verification, affordability assessment, approval decision, agreement execution, and disbursement.

Digital applications may use automated verification. An automated decision can still be referred for manual review when information is inconsistent or an exception condition is detected.

Typical Processing Timeline

Stage	Illustrative turnaround
Initial application validation	Same business day
Document verification	1–2 business days
Credit and affordability assessment	1 business day after complete documents
Manual review, if required	1–3 additional business days
Disbursement after approval and agreement	Within 1 business day

10. Processing Fees and Other Charges

The training policy uses the following illustrative charges. Fees are subject to the terms presented to the applicant before final acceptance.

Charge	Illustrative policy
Processing fee	Up to 2.0% of sanctioned loan amount plus applicable taxes
Documentation / service charge	Up to ■1,500 plus applicable taxes where applicable
Late payment charge	■500 per overdue installment plus applicable taxes
Returned payment charge	■450 per failed mandate/payment event plus applicable taxes
Foreclosure charge	See Section 11

11. Prepayment and Foreclosure

Part-prepayment may be permitted after six completed EMIs, subject to the product terms applicable to the loan.

For loans with a foreclosure option, the illustrative foreclosure charge is 4% of the outstanding principal during the first 12 months, 3% during months 13–24, and 2% thereafter, plus applicable taxes.

A borrower requesting foreclosure must obtain a formal foreclosure statement because the payable amount depends on outstanding principal, accrued interest, applicable charges, and the requested closure date.

Prepayment Example

> If the outstanding principal is ■5,00,000 and the applicable foreclosure charge is 3%, the illustrative foreclosure charge before taxes would be ■15,000. This example excludes accrued interest and other applicable amounts.

12. Co-Applicant Rules

A co-applicant may be permitted when the additional applicant strengthens repayment capacity or is required by the lending structure. A co-applicant is subject to identity, credit, income, and documentation checks.

The presence of a co-applicant does not automatically guarantee approval. Both applicants may be jointly responsible for repayment according to the executed agreement.

Where both applicants have income, eligible income may be combined subject to policy limits and verification.

13. Rejection and Referral Conditions

An application may be declined or referred when mandatory eligibility requirements are not met, information cannot be verified, repayment capacity is insufficient, or material adverse credit information is identified.

Examples include identity mismatch, unverifiable income, fraudulent or altered documents, active serious delinquency, loan purpose outside permitted use, excessive existing obligations, or failure to satisfy internal risk criteria.

A referral to manual review is not the same as rejection. It means additional assessment is required before a final decision.

Examples

Scenario	Illustrative outcome
Income below minimum	Normally ineligible
Credit score 675	Outside standard band; exception unlikely
Credit score 690 + stable income + clean recent history	May be manually reviewed
Existing obligations consume 65% of net income	Normally unaffordable
Missing mandatory identity document	Application cannot proceed until resolved
Employment gap of 20 days during job change	May be acceptable if other criteria are met

14. EMI Examples

The examples below are illustrative only. EMI depends on principal, interest rate, tenure, repayment frequency, and the calculation convention used.

Loan amount	Rate	Tenure	Illustrative EMI
■5,00,000	12.00%	36 months	≈ ■16,607
■10,00,000	13.50%	48 months	≈ ■27,116
■15,00,000	14.50%	60 months	≈ ■35,294

Loan amount	Rate	Tenure	Illustrative EMI
■20,00,000	15.00%	60 months	≈ ■47,580

15. Special Cases

Applicants with variable income may be assessed using an average of documented income rather than the latest month's income.

Applicants close to the maximum age at maturity may receive a shorter permissible tenure. For example, an applicant who reaches the product's maximum maturity age before the requested 84-month tenure may be offered a shorter tenure.

Applicants with recent job changes may be eligible when employment continuity and income can be satisfactorily established. A long employment gap may require additional review.

Where a customer has an existing relationship with the institution, relationship history may be considered as one input into the overall assessment, but it does not override mandatory eligibility requirements.

16. Frequently Asked Questions

Q: What is the minimum salary for a salaried applicant?
A: The baseline minimum gross monthly income is ■30,000, subject to the remaining eligibility and affordability checks.

Q: What credit score is preferred?
A: A score of 700 or above is preferred. Scores from 680 to 699 may be considered with compensating factors.

Q: What is the maximum personal loan amount?
A: The illustrative maximum is ■25,00,000, although the approved amount depends on affordability and risk assessment.

Q: Can self-employed applicants apply?
A: Yes. They generally need at least 24 months of business continuity and appropriate financial documentation.

Q: Can I include a co-applicant?
A: A co-applicant may be permitted, subject to eligibility, credit, income, and documentation checks.

Q: Is prepayment allowed?
A: Part-prepayment may be permitted after six completed EMIs, subject to the applicable loan terms.

Q: Is a credit score below 680 always rejected?
A: It is outside the standard policy band. Exceptions are limited and require additional risk assessment; approval is not guaranteed.

Q: How long does approval take?
A: A complete application can often be assessed within 1–2 business days, while manual review can add additional time.

17. Policy Glossary

Affordability: The assessment of whether an applicant can reasonably service the proposed loan after considering income and existing obligations.

Co-applicant: An additional applicant who may share responsibility for the loan and whose financial profile may be included in assessment.

Foreclosure: Full closure of the outstanding loan before the scheduled maturity date.

EMI: Equated Monthly Installment, the scheduled monthly repayment comprising principal and interest.

Enhanced review: Additional manual assessment required when an application falls outside a standard automated or policy pathway.

Verified income: Income supported by acceptable documentation and validation procedures.

Debt obligation: Existing or proposed recurring repayment commitments considered in affordability assessment.

18. RAG Practice Notes

This final section intentionally provides metadata that can help you test whether your RAG system retrieves the correct document context. When building your application, consider preserving page number, section title, and document ID as metadata.

Useful retrieval questions include questions whose answers occur in different sections, questions that require combining two rules, questions with numbers, questions involving exceptions, and questions where the correct answer should explicitly say that the document does not provide enough information.

For evaluation, compare the generated answer against the retrieved chunks and verify that the answer does not invent lending rules absent from this document.

END OF DOCUMENT — Synthetic training corpus for Python RAG experimentation.